

Living standards



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Indicators of living standards

Real GDP per head

Gross domestic product can be used to measure economic growth. It can also be used as an indicator of living standards. However it needs to be divided by the total population of a country to give for GDP per head or per capita. It also needs to be adjusted for inflation, so that real GDP per head is calculated at constant prices.

Real GDP per head is often used as an indicator of living standards because it measures the total output produced by a country within its own geographical boundaries, divides it by country's population and adjusts it for inflation. If the figure is rising, it would suggest that living standards in that country are increasing because there is more to be shared by the people in the country.

However, the indicator has a number of disadvantages, including the following :-

* Not all economic activity is declared because of the existence of a hidden, informal or underground economy.

- * Not all goods and services will go through a market, that is, there will be no price attached to such products.
- * It may be difficult to accurately measure the cost of certain items of government spending, such as defence.
- * Real GDP does not take into account the quality of what has been produced.
- * Real GDP per capita only focuses on material aspects - there is no consideration of political freedom. It is an indicator of living standards, but necessarily of quality of life.
- * The level of literacy in a country may be low making it difficult to obtain accurate data.

Gross national income (GNI):- The sum of a country's GDP and the net incomes it receives from abroad

Human development Index (HDI) :- An index used to measure human development using three components, standard of living, health and education.

Example :- Although GDP is still used as an indicator of living standards, it is gradually being replaced by gross national income.

The Human Development Index (HDI)

The human development index is a broader indicator of living standards in a country. It was established for the United Nations Development Programme in 1990.

The HDI contains three elements :-

Standard of living as measured in GNI per head at purchasing power parity

Health as measured by life expectancy at birth

Education as measured by mean years of schooling and expected years of schooling.

Since 2010, there has also been an Inequality - Adjusted Human Development index, that takes into account the extent of inequality in a country.

The advantages and disadvantages of the HDI

HDI has a number of advantages over real GDP per head as an indicator of living standards. It focuses on three components of living standards rather than just one and it is thus a broader indicator of living standards.

However, there are also disadvantages of HDI. For example it concentrates on too narrow range of components, it does not take into account environmental aspects of production, and other components might be better, for example, infant mortality might be preferable to life expectancy. It used to be criticised for not taking inequality into account, but this is taken into account by inequality-Adjusted HDI.

Other indicators of living standards

The two main indicators of living standards are real GDP per head and HDI, but there are other indicators that can be used as multidimensional poverty index (MPI) (this replaced Human Poverty Index (HPI) in 2010), the Genuine Progress Indicator (GPI) and the Gender Inequality Index (GII).

Inequality-Adjusted Human Development Index, a version of the HDI that takes into account the extent of inequality in a country.

Differences in living standards and income distribution within countries

Different standards of living are enjoyed by people within the same country and these differences can be significant for a number of reasons.

- * The income distribution may be unequal where a large number of people have inherited, rather than earned, income and wealth.
- * Some people earn a higher income than others because of the type work they do, especially when the income of skilled workers is compared with that of unskilled workers.
- * Some people own their businesses or are shareholders in businesses, and these people are likely to receive more money.
- * There may be more jobs available in certain parts of a country, enabling people living and working in those areas to earn an income.

Differences in living standards and income distribution between countries

- * One country's economy may be more successful in its production activities than another, especially when levels of productivity are compared.
- * Standard of living will depend on the quality of the education and health care facilities provided.
- * Some countries will have higher levels of capital investment than others, leading to the use of more advanced technology.
- * Countries will vary in infrastructure, in areas such as transportation and communication.
- * Some countries will have a greater abundance in natural resources than other countries, for example, oil.

It can be hard to compare countries that use different currencies, although exchange rates are used to establish the value of one currency when compared with another.

Questions

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